
Required To Have It. Penalised For Keeping It.

Canada Pension Plan Disability, ADAP, and the bind written into the rules

FIRST, THE RUMOUR. IT IS NOT TRUE.

A claim is circulating that you can be removed from the Alberta Disability Assistance Program (ADAP) **because** you receive Canada Pension Plan Disability (CPP-D).

We searched the Assured Income for the Severely Handicapped (AISH) Act, the AISH General Regulation (AR 96/2026), the Adjudication Guide, and the 212-page AISH and ADAP policy manual in force as of July 2, 2026. **No such provision exists.** Nobody is removed from ADAP for holding CPP-D.

If you have been losing sleep over this, please stop. It is not in the rules.

What the manual does say

There is a real clause, and it has been garbled in the retelling. The July 2026 policy manual says:

“If clients’ Canada Pension Plan – Disability benefits increase to the point where they are no longer eligible for the AISH or ADAP monthly living allowance, they will continue to receive the same health coverage they had on AISH or ADAP through the Alberta Adult Health Benefit (AAHB) program.”

That is not a penalty. That is arithmetic. CPP-D is deducted from your provincial payment dollar for dollar. If your CPP-D grows large enough, the deduction consumes the whole living allowance and there is nothing left to pay out.

And the health coverage is protected. The manual is explicit: those clients continue the same health coverage through the Alberta Adult Health Benefit. Very few people know this. It is worth knowing.

THE FINDING

The rumour is false. What sits underneath it is worse, and it is documented.

The province requires you to hold a federal benefit, gives you no exemption on it, and then directs you toward the one activity that destroys it.

1. Step one. You are required to apply for CPP-D.

The program requires clients to apply for other income they may be eligible to receive, including CPP-D. And a decision to deny or amend your benefits because you qualify for another program but refuse to apply for it is **exempt from appeal** under section 6 of the Applications and Appeals (Ministerial) Regulation. The requirement is real, and there is no appeal if you decline.

2. Step two. CPP-D is deducted in full. There is no exemption.

CPP-D is listed as non-exempt income. Every dollar comes off your provincial payment. Employment income has an exemption. Federal disability income has none. The same dollar in your pocket is treated worse if it came from Ottawa than if it came from a shift at work.

3. Step three. ADAP is built around an expectation of work.

The program is presented as a route into employment, and its higher earnings exemption is presented as the benefit of the change.

4. Step four. Work is what takes CPP-D away.

Service Canada's 2026 thresholds are published. Earn under \$7,400 gross in a year and CPP-D is not affected. Earn between \$7,400 and \$20,971.45 and you must contact Service Canada, and it may be treated as evidence you are capable of regular work. Earn \$20,971.45 or more and that is "substantially gainful" work. You will likely no longer qualify for CPP-D.

The part that matters most.

ADAP's higher earnings exemption **does nothing to protect your CPP-D**. Alberta's exemption has no bearing on Service Canada's threshold. A person who follows ADAP's employment expectation can earn their way out of a federal benefit that is difficult to obtain and difficult to regain, while the provincial exemption they were told to rely on offers no protection at all.

The arithmetic nobody has said out loud

Maximum CPP-D, 2026: \$1,741.20 per month.

ADAP base rate: \$1,740.00 per month.

A person receiving the maximum federal disability benefit exceeds the entire ADAP living allowance by **\$1.20**. The dollar-for-dollar deduction consumes all of it. There is no provincial living allowance left to pay.

Health coverage continues through the Alberta Adult Health Benefit. The monthly payment does not.

What this means for you

- **Do not refuse to apply for CPP-D.** That is the one route with a documented consequence and no appeal. If you qualify and refuse, your benefits can be denied or amended, and you cannot appeal it.
- **If you receive CPP-D and are considering work, speak to Service Canada first.** Not to your ADAP worker. Not to this group. Service Canada holds the threshold that governs your federal benefit, and Alberta's exemption will not shield it.
- **Ask in writing, and keep the answer.** Every file is different. Ask what applies to yours, get the reply with your name on it, and keep your copy.
- **If your living allowance reduces to nothing, you do not lose your health coverage.** Ask them to confirm your enrolment in the Alberta Adult Health Benefit in writing.

Sources, so you can check every word yourself

Every claim in this document comes from the government's own published material. Nothing rests on a member's account or an unnamed source. The links are printed below so you can go and read them.

1. Disability Income Assistance Policy Manual (AISH and ADAP), in force July 2, 2026

Manual home: manuals.alberta.ca/dia-policy-manual/

Treatment of CPP-D income (Pension Income):

manuals.alberta.ca/dia-policy-manual/aish-adap-program-policy/income/pension-income/

Alberta Adult Health Benefit:

manuals.alberta.ca/dia-policy-manual/aish-adap-program-policy/benefits/health-benefits/alberta-adult-health-benefit/

Appealing a Decision: manuals.alberta.ca/dia-policy-manual/aish-adap-program-policy/appeals/appealing-a-decision/

2. AISH General Regulation, AR 96/2026 (governs both AISH and ADAP)

Alberta Open Government: open.alberta.ca/publications/2026_096

3. Applications and Appeals (Ministerial) Regulation, AR 89/2007, section 6 (decisions exempt from appeal)

Alberta Open Government: open.alberta.ca/publications/2007_089

4. ADAP Fact Sheet (base rate and transition benefit), Government of Alberta

alberta.ca/system/files/alss-adap-fact-sheet.pdf

5. Canada Pension Plan disability benefits (2026 earnings thresholds), Government of Canada

canada.ca/en/services/benefits/publicpensions/cpp-disability-benefit.html

Toolkit, showing the \$7,400 basic exemption and the \$20,971.45 substantially gainful amount for 2026:

canada.ca/en/employment-social-development/programs/pension-plan-disability-benefits/reports/toolkit.html

Where we could not confirm a claim, we said so. That is how this record has held.

The Alberta Disability System Breakdown , Advocate

St. Albert, Alberta | July 2026

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This document is an advocacy resource and is not legal or financial advice. For your own file, ask the program in writing and keep the reply.